DAVE DOHERTY
PRESIDENT AND CHIEF OPERATING OFFICER, DIGI-KEY ELECTRONICS

Industry Trends

"INDIA'S ECONOMY Is On The RISE And The ELECTRONIC COMPONENTS INDUSTRY Is Growing"

To delve deep into changing industry trends that will ensure organisations retain a strong foothold in the dynamic electronics ecosystem, Rahul Chopra of EFY Group caught up with Dave Doherty, president and chief operating officer of Digi-Key Electronics, during the launch of the company's IoT Studio at Electronica 2018 in Germany

Q. Which industry segments are driving growth in the electronic components domain?

A. A major driver of the supply chain is the automotive industry. High influx from suppliers of capacitors, for instance, shows that volumes are starting to accelerate.

Another big factor behind the growth is the urge to innovate. For instance, we have an entire team of engineers and designers who are trying to innovate and find new applications for our design platforms. They have a healthy curiosity level and can bring products to the shelves quickly.

Q. Do you think rapid prototyping and electronics manufacturing services is growing worldwide?

A. Yes! The phenomena started in the US but we are seeing a similar trend in the European market. China has also caught up with the other parts of the world in a very short time.

Q. With local players joining big ones, is the Indian market getting saturated?

A. The Indian market has been very strong in the last two years. People have the resources and are looking to expand. Great days are ahead as India's economy is on the rise and the electronic components industry is growing.

Right now, people are aggressive about expansion opportunities. However, it needs to be seen if they can do so with the market growing so rapidly. We have been serving 170-plus countries for the past 20 years, and so the systems for maintaining service standards are in place.

India is rapidly turning its volume manufacturing space into an innovation space. This is not only because of the large consumer base for typical high-volume production but also because of the growing impact of its economy. This is a natural phenomenon, which will continue to occur.

Innovations are also coming from students and startups. The movement is global. Soon there will be no country-wise boundaries.

Q. Does the concept of the electronics of things increase demand for electronics?

A. The electronics of things will continue to drive growth over a long period of time. A huge number of engineering activities are being serviced for small quantities, as prototypes or in incubation mode. This gives me the confidence that, over time, the market will emerge.

Q. What is your view on traditional distributors acquiring online flash catalogue distribution firms?

A. There are not many established online distributors, so the opportunity for acquisition is limited. Major distributors have made acquisitions around the globe in places like Japan to establish an online presence. Companies should have their own strategies and must evaluate whether they have the expertise and competence to grow organically, or they need some external expertise to accomplish this.

Q. How important is content in the online sales space?

A. Content is important. How you create content decides how likely your products will be found by search engines like Google and Bing. Unfortunately, some people have taken shortcuts and acquired media partners to get this done.

Call me old fashioned, but I still prefer pre-media content and unbiased media. We have certainly shielded away from such media because it is conflicting. The one thing that engineers want is unbiased, raw and practical information. They do not want marketing stunts and sales pitches.

Q. What benefits can a concept like IoT Studio bring to technical users?

A. The world has been talking about the Internet of Things (IoT) for several years now. Products such as IoT Studio bring libraries that are available through most electronic design automation (EDA) platforms to customers.

IoT Studio is similar to Scheme-it, which is a popular low-end schematic capture tool that can bring components together and assemble, design, share and export these into full-featured EDA tools. IoT Studio can take a board platform with some sensor devices that work on edge. It will soon run on smartphones with the help of cloud service. EFY